

business creating a product or service, working with clients on a freelance basis—effectively, anything that requires you to wake up in the morning and get to work.

The second way is by putting your *money* to work for *you*, where your active participation is not constantly required. For instance, this could mean investing passively in real estate and charging rents that not only cover your expenses but net you a profit. It could mean investing in a business venture that's run and managed by others. Or it could mean investing to earn portfolio income via the stock market (what this book is about!), meaning the money you earn from gains and dividends of stocks in your portfolio. (If you're not 100% sure what a dividend or portfolio is yet, we'll get there.)

You might be saying to yourself, “Well, I save my money in the bank.” However, while savings accounts can be excellent for the short term (e.g. saving for emergencies, saving to buy a home, saving for a wedding, etc.), the truth is that they are less successful for the long term. Interest rates are typically so low that you'll never be able to earn more than what you save—especially when you consider inflation, which will eat away at the actual value and purchasing power of your savings.

Plus, keep in mind that in order to have the money to save in the first place, you need to exchange many hours of your time for money *and* spend less than you earn. After all that work it would be a shame for your money to lose value or remain stagnant.

To really help you home into what I'm saying, I'll repeat a key point: *When you save your money in a bank account, you'll never be able to earn much more than the amount you save.*

Back to stocks: How exactly do you earn money in the stock market? Well, as an investor, you can earn money from:

- **Appreciation.** This is what happens when the invested assets you own increase in value.
- **Interest payments.** This is money you earn from buying investments like bonds, where you lend money to a corporation or to the government and they guarantee interest in return.